Strait of Hormuz Crisis

Oil Supply Disruption Briefing — **March 18, 2026 (Day 19)** — Last refreshed: Mar 18, 9:56 AM MDT — Crisis escalating: Israel kills Iran Intel Minister Khatib; US/Israel strike South Pars gas field (phases 3–6 offline); IRGC evacuation warnings for Gulf energy facilities; Vessel transits nearly doubled; Iran FM proposes post-war Hormuz protocol

Data freshness:

LIVE Daily market price — verify before trading

POLICY Government action — check for updates

STRUCTURAL Infrastructure / historical — stable

-12.0 mb/d net global oil shortage (temporarily improved by GL 134 waiver; **reverts to ~-13.2 after Apr 11**). The US-Israel war on Iran (Feb 28) triggered the largest oil supply disruption in the history of the global oil market.[7] Hormuz took ~20 mb/d offline (~20% of global supply).[1] Iran is running a **selective blockade** — blocking Western-allied ships while granting permission-based passage to Indian, Turkish, Pakistani, and China-bound vessels.[5] Brent LIVE at **$109.50/bbl (+54%)** as of Mar 18 10:33 ET.[23] Diesel LIVE $4.95/gal national avg.[24] IEA's record 400M bbl SPR release failed to push prices below $100; first physical barrels expected to reach market Mar 19.[9] GL 134 Russian oil waiver (186M bbl floating inventory) expires Apr 11 with no extension signals.[3] Mojtaba Khamenei (new Supreme Leader) and Iran FM reject ceasefire. **US/Israel strike South Pars gas field Mar 18** — four gas treatment facilities processing phases 3–6 taken offline; Tehran refinery (220K b/d) also damaged; Iran vows to escalate "in new ways."[42] Intelligence minister Khatib killed, confirmed by President

Pezeshkian.[18] IRGC names five Gulf energy targets "to be struck within hours."[49] 40+ Iranian officials killed. Germany, Japan, Italy, Romania, Spain, UK, Australia declined Trump's escort coalition request.[15] Iran FM Araghchi (Mar 18) proposed a new regional **Hormuz Strait protocol** post-war — framing permanent Iranian control of the strait as an institutional lever, not just a wartime tactic.[19]

-20.0

MB/D HORMUZ TRANSIT LOST

+8.05

MB/D MITIGATIONS (THRU APR 11)

-12.0

MB/D NET SHORTAGE

$109

BRENT CRUDE (/BBL)

$4.95

US DIESEL (/GAL)

Mar 28

4-week shut-in threshold

Apr 11

~Jul 10

US SPR exhausted 172M bbl at 1.43 mb/d

Permanent well damage risk (water coning)	GL 134 expires −2 mb/d cliff (no extension signals)	

Timeline of Key Events

- **Feb 28** US/Israel launch strikes on Iran; Supreme Leader Ali Khamenei killed; "major combat operations" declared.[58]
- **Mar 1–2** Iran retaliates with drone/missile strikes on Saudi, Qatar, UAE, Oman energy infrastructure; QatarEnergy declares force majeure on LNG at Ras Laffan; European gas benchmark +45% in one session.[33]
- **Mar 3** Iraq shuts Rumaila field (storage full); Assembly of Experts convenes for succession — combined Gulf production cuts reach ~5.9 mb/d.[44]
- **Mar 5** IRGC formally announces Strait of Hormuz closure to US/Israel/Western-allied ships; major P&I clubs cancel war risk cover; Maersk, CMA CGM, Hapag-Lloyd suspend transits.[14][32]
- **Mar 6** IMO confirms 4 seafarers killed; vessel Athe Nova (Honduran-flagged) set ablaze near UAE; first Qatar LNG cargo (Al Ghashamiya) loaded at Ras Laffan since shutdown.[33]
- **Mar 7** Kuwait declares force majeure; combined Gulf crude production offline reaches ~6.7 mb/d; **first VLCC loading at Jask terminal since Oct 2024** (~2M bbl — only the 5th Jask loading in 5 years).[44][10]
- **Mar 9** Brent surges past $100/bbl for first time; **Mojtaba Khamenei elected Supreme Leader** (IRGC-backed); Fujairah terminal struck for first time.[58]
- **Mar 11** Saudi activates full East-West Pipeline (Yanbu throughput 2.5 mb/d); IEA authorizes record 400M bbl emergency release;[1] UN Security Council Resolution 2817 passes 13-0-2 (China/Russia abstain).[2]

- **Mar 12** SPR physical releases begin; OFAC issues GL 134, authorizing delivery of 186M bbl Russian crude already loaded as of Mar 12; Brent holds above $100.[3][13]
- **Mar 13** Turkish vessel granted first non-Iranian passage; Treasury Sec. Bessent confirms US allowing Iranian tankers through.[5][13]
- **Mar 14** US strikes 90+ military targets on Kharg Island (oil infrastructure deliberately spared); Fujairah struck again (2nd time); France pledges 2 frigates "purely defensive."[30][38]
- **Mar 15–16** Pakistani tanker KARACHI transits with AIS active; Saudi tanker carrying 1M bbl for India allowed through; Iran resumes loading at Jask terminal south of Hormuz; **Mojtaba Khamenei issues first public statement**: "Strait must be used as leverage" — rejects ceasefire from 2 intermediary states.[5][10][19]
- **Mar 17** Ali Larijani (Security Chief) + Gholamreza Soleimani (Basij Commander) killed by Israeli strikes; 40+ Iranian officials killed in total; Germany, Japan, Italy, Romania, Spain, UK, Australia formally decline escort coalition; Trump threatens NATO exit over refusal to secure Hormuz.[16][15]
- **Mar 18 AM** Iran FM Araghchi proposes new regional Hormuz Strait protocol post-war; France and Italy contact Iran directly about bilateral ship passage; Iran "open to countries who want to talk about safe passage"; vessel traffic through Hormuz nearly doubles — 8 non-Iranian vessels detected (Windward AI).[19][59]
- **Mar 18 PM** Brent spikes +6.1% to $109.75 intraday; TTF gas +9.1%; **US/Israel strike South Pars gas field / Assaluyeh** — four gas treatment facilities (phases 3–6) taken offline; Tehran refinery (220K b/d) also damaged; Iran vows to escalate "in new ways"; Qatar condemns as "dangerous and irresponsible"; US drops bunker-buster bombs on hardened Iranian missile sites near strait.[42][23] Israel kills intelligence minister Khatib — confirmed by President Pezeshkian.[18] IRGC names five Gulf energy targets "to be struck within hours": SAMREF Yanbu (400K b/d), Sadara Jubail, Qatar Chemical, Ras Laffan refinery (305K b/d), Al-Hosn gasfield UAE (1 bcf/d).[49]

Iran's Selective Blockade Strategy

> Iran is **not** enforcing a total closure. It is operating a **selective blockade** — blocking US/Western-allied shipping while allowing passage for strategically useful traffic.[5] This divides the Western coalition (India and China have less incentive to act), maintains Iran's revenue, and turns Hormuz into a diplomatic lever. Traffic has collapsed 95%+ from the pre-war 100+ ships/day.[17]

ALLOWED THROUGH	DETAILS
Iranian-flagged vessels	~1.5 mb/d continuing exports; ~1.25 mb/d reaching China via dark fleet; 11.7M bbl since Feb 28.[10]
India-linked cargoes	2 Indian LPG carriers; 1 Saudi tanker (1M bbl for India).[5]
Turkish vessel	Granted passage Mar 13 — confirmed by Turkish transport minister.[5]
Pakistani tanker	KARACHI transited Mar 15 with AIS active.[59]
China-bound dark fleet	11.7M bbl Iranian crude transited since Feb 28, all China-bound.[10]
Jask terminal	Iran executing crude exports from Kooh Mobarak terminal south of Hormuz, bypassing strait entirely.[10]

As of Mar 18, vessel transits have nearly doubled to 8 non-Iranian ships detected Monday (MarineTraffic/S&P Global), up from 2–5/day in prior days — "a growing number rerouting via Iran's territorial waters," reflecting permission-based expansion to friendly nations.[19][17] Iran FM Araghchi: the strait is **"open, but closed to our enemies."**[18]

Iran is reportedly considering allowing **yuan-denominated cargoes** to transit — turning the energy corridor into a currency weapon and challenging petrodollar dynamics.[26]

Infrastructure Damage by Country

COUNTRY	FACILITY	TYPE	ATTACK	STATUS
Saudi Arabia	Ras Tanura	Refinery + terminal (550K b/d)	Drone debris Mar 1	Fire, halted. 2–4 weeks to repair.[4]
Qatar	Ras Laffan	LNG plant (~20% global LNG supply)	Drone strike Mar 2	Force majeure declared; 1 cargo loaded Mar 6; CEO: restart requires complete end of conflict; **North Field expansion delayed to 2027.**[33]
Qatar	Mesaieed	Petrochemicals/ power	Drone strike Mar 2	Downstream production halted.[4]
UAE	Mussafah	Fuel terminal	Direct hit Mar 1	Fire; assessment ongoing.[4]
UAE	Fujairah	Oil terminal (key ADCOP exit)	Hit 3 times (Mar 9, 14, 16)	Loading impaired; ADCOP pipeline still flowing at 1.8 mb/d.[8]
Oman	Duqm	Fuel storage	Multiple drones Mar 1–2	Direct hit, explosion reported.[4]
Oman	Salalah	Port	Drone strike	Damage reported.[4]
Iran	Kharg Island	Oil export hub (~7M b/d capacity)	US strikes Mar 14 (90+ targets)	Military targets only; oil infrastructure spared; 8+ tanker loadings (~14M bbl) continuing.[30]

Iran	South Pars / Assaluyeh	World's largest gas field (70–75% of Iranian gas production); phases 3–6 onshore processing	US/ Israel strikes Mar 18	4 gas treatment facilities taken offline; Tehran refinery (220K b/d) also damaged; fire at gasfield brought under control; production volumes not disclosed.[42][47]

Maritime: 21 confirmed Iranian ship attacks as of Mar 12.[58] Vessel Athe Nova (Honduran-flagged) set ablaze near UAE.

Imminent threats (Mar 18): Iran's armed forces named five Gulf facilities as "direct and legitimate targets to be struck within hours": SAMREF refinery Yanbu, Saudi Arabia (400K b/d); Sadara petrochemical complex, Jubail; Qatar Chemical, Doha; Ras Laffan refinery (305K b/d); Al-Hosn sour gas field, Abu Dhabi (1 bcf/d).[49]

Production Cuts (Shut-ins from Storage Constraints)

Global oil supply collapsed to 98.8 mb/d in March vs. ~106 mb/d pre-crisis — a loss of ~7.2 mb/d at the system level.[44] IEA projects global supply down 8 mb/d in March; at least 8 mb/d crude + 2 mb/d condensate/NGL curtailed.[1][45] Gulf refining capacity shut: 3+ mb/d, freezing 3.3 mb/d of refined product exports and 1.5 mb/d of LPG exports.[1]

COUNTRY	PRE-CRISIS	CURRENT (EST.)	CUT	NOTES
Saudi Arabia	~10.5 mb/d	~8.0–8.5 mb/d	~2.0–2.5 mb/d	Partially offset by East-West Pipeline (2.5 mb/d Yanbu throughput).[44]
Iraq	~4.3 mb/d	~1.4 mb/d	~2.9 mb/d	Rumaila shut-in Mar 3 (storage full); largest single-country cut.[44]

Kuwait	~2.7 mb/d	~2.2 mb/d	~0.5 mb/d	Force majeure declared Mar 7; no pipeline bypass option.[44]
UAE	~3.2 mb/d	~2.4–2.7 mb/d	~0.5–0.8 mb/d	ADCOP pipeline (1.8 mb/d) providing partial export relief.[8]
Iran	~3.2 mb/d	Exporting via own control	Complex	~1.5 mb/d reaching China through Kharg + Jask terminals.[10]
Total Gulf crude	**~24 mb/d**	**~98.8 mb/d global**	**~5.9–6.7 mb/d offline**	**IEA: "largest supply disruption in history of the global oil market."[1]**

Repair & Restart Timelines

Physical Damage

- **Ras Tanura:** 2–4 weeks (fire damage, equipment inspection).[27]
- **Ras Laffan LNG:** QatarEnergy CEO states restart requires complete end of conflict; 2 weeks minimum after ceasefire + 2 weeks to full capacity; North Field expansion delayed to at least 2027.[33]
- **Fujairah:** Hit 3 times; loading impaired but ADCOP pipeline flowing at 1.8 mb/d.[8]
- **South Pars / Assaluyeh:** 4 gas treatment facilities offline (phases 3–6); fire controlled but no production timeline given; Tehran refinery (220K b/d) damaged separately.[42]
- **Others:** Weeks to assess; fuel storage tank replacement 4–8 weeks minimum.[27]

Shut-in Wells

> **Water Coning Risk**

> Wells shut >4 weeks face permanent damage. Bottom water rushes into mature reservoirs during extended shut-ins, trapping oil in pore spaces — potentially irreversible formation damage.[7] Wells shut since Mar 3 hit this critical window around **Mar 28**.

- **First 2 weeks:** Restart straightforward (days to a week per well)
- **2–4 weeks idle:** Corrosion begins; inspection and equipment replacement needed
- **Beyond 4 weeks:** Risk of permanent well damage — oil trapped in pore spaces, potentially unrecoverable
- **IEA:** "Upstream production will take weeks and, in some cases, months, to return to pre-crisis levels."[1]

Strait Reopening Scenarios

- **ING base case:** 4 weeks total (2 full closure + 2 at 50%).
- **Bull case:** Selective passage already occurring; US Navy estimates escort readiness by end of March (needs 8–10 destroyers per convoy).[38]
- **Bear case:** Mojtaba Khamenei hardliner; Iran FM "we never asked for a ceasefire"[6]; South Pars strike risks full-scale energy war — Iranian official warned it "triggers full-scale economic war."[47]

Post-Reopening Recovery Lag

> **2–2.5 Months to Steady State**
>
> Even after Hormuz reopens, the system does not normalize immediately. Well restarts, pipeline recommissioning, insurance market normalization, and tanker fleet repositioning create a 2–2.5 month lag before Gulf supply returns to pre-crisis levels.[27]

- **Week 1–2:** Selective vessels begin transit; war risk premiums remain elevated (1–2% of hull); tanker fleet repositioning underway
- **Week 2–4:** Well restarts (those not permanently damaged); pipeline recommissioning; port congestion clears

- **Month 2:** Insurance market begins normalizing; more tankers return to route; refinery crude slates rebalance
- **Month 2–2.5:** Supply returns to 80–85% of pre-crisis levels; North Sea, US, Russian substitute barrels begin unwinding
- **Persistent damage:** North Field expansion delayed to 2027[33]; wells damaged by water coning potentially unrecoverable; South Pars phases 3–6 restart timeline unknown.

Mitigating Factors

1. Saudi East-West Pipeline (Petroline) STRUCTURAL

- **Pipe capacity:** 7 mb/d (after NGL line conversion)
- **Yanbu throughput:** ~2.5 mb/d (Sparta Commodities, Mar 16) vs. 750K b/d pre-crisis[44]
- **Net new export:** +1.75 mb/d above pre-crisis baseline[8]
- **Limitation:** Only moves crude — no refined products, LPG, or LNG[8]

2. UAE ADCOP Pipeline STRUCTURAL

- **Pipe capacity:** 1.5–1.8 mb/d; now at full capacity[8]
- **Spare activated:** +0.7 mb/d above pre-crisis flow[8]
- **Risk:** Fujairah terminal hit 3 times but pipeline still operational; IRGC now threatening Fujairah area facilities explicitly[49]

3. IEA Strategic Petroleum Reserve POLICY

- **Total committed:** 400M bbl — largest coordinated release in IEA's 50-year history[1][9]
- **Structure:** First tranche is 86M bbl exchange (loan; must be returned with interest)
- **Rate:** ~2.0 mb/d combined (US: 1.43 mb/d over 120 days; IEA non-US: 0.57 mb/d)[1]
- **US SPR capacity:** 714M bbl total; held 415.4M bbl pre-release (peaked at 695M bbl in 2010)[1]

- **OECD government stocks:** ~1.25B bbl total across IEA members[1]
- **Global observed stocks:** ~8,210M bbl (IEA Jan 2026 estimate; highest since early 2021)[44]
- **SPR refill = structural price floor:** 172M bbl committed requires ~$17B in repurchases at $100/bbl — a sustained government buy program supporting prices long after the crisis ends
- **Market reaction:** Flat. Brent held $100+ on announcement day. Insufficient to offset −12 mb/d structural gap.[6]

4. GL 134: Russian Oil Waiver (One-Time) POLICY

> **Cliff Risk: Apr 11**
>
> GL 134 is a STOCK, not a FLOW. 186M bbl on ~238 tankers depletes and vanishes after expiration.[3][44] No extension signals as of Mar 18. This is the single most predictable near-term catalyst for price spikes.

- **OFAC GL 134:** Authorizes delivery of Russian crude already loaded as of Mar 12[3]
- **Effective flow:** ~2.0 mb/d tapering; 60–70M bbl near India/China for prompt delivery[44]
- **Expires:** April 11, 2026 (30 days from issuance)
- **Russia windfall:** Urals swung from −$13/bbl discount to +$4–5/bbl premium (an $18/bbl swing); India's Russian crude imports up ~50% to 1.5 mb/d; Russia earning ~$150M/day additional revenue[44][52]

5. Other Mitigations

- **Russian production:** +0.1 mb/d (minimal; Feb production falling −56K bpd m/m; may cut 300K bpd by April per Rystad)
- **Iranian own exports:** +1.5 mb/d via Kharg + Jask terminals, almost entirely China-bound[10]

6. Policy Measures

- **Jones Act waiver:** Under consideration — would allow foreign-flagged tankers to move crude between US ports, freeing Gulf Coast refinery

capacity. Politically sensitive (longshore labor opposition); last waived post-Katrina 2005.[28]

- **US crude export ban:** Congressional Democrats proposing emergency ban on US crude exports. Would spike WTI vs. Brent; alienates allies dependent on 2–3 mb/d of US exports; opposed by producers and Treasury.[28]
- **CME Group warning:** Exchange described potential $200+ Brent as a "biblical disaster for the global economy" — prompting review of emergency margin and circuit-breaker protocols.[11]

Combined Supply Balance

MITIGATION	VOLUME (MB/D)	START	DURATION
Saudi Pipeline (net) STRUCTURAL	+1.75	Mar 11	Indefinite
UAE ADCOP spare STRUCTURAL	+0.70	Mar 1	Indefinite
IEA SPR release POLICY	+2.00	Mar 12	~120 days (US)
GL 134 floating inventory POLICY	+2.00	Mar 12	Expires Apr 11
Russian increase	+0.10	Mar 3	Ongoing
Iranian own exports	+1.50	Ongoing	Ongoing
Total mitigations	**+8.05**		
Hormuz transit lost	**-20.0**	**Feb 28**	**Until reopened**
NET SHORTAGE	**~-12.0 mb/d**		

Oil Price Impact LIVE

METRIC	PRE-CRISIS (FEB 27)	CURRENT (MAR 18)	CHANGE
Brent Crude	~$71.00/bbl	$109.50/bbl (10:33 ET)[23]	+54%
WTI	~$67.00/bbl	$99.05/bbl[23]	+48%
Brent intraday high (Mar 18)	—	$109.75/bbl[42]	+6.1% today
Brent intraday peak (all-time crisis)	—	$126/bbl	—
US Gasoline (AAA national avg)	$2.92/gal	$3.79/gal[24]	+30%
US Diesel (GasBuddy)	$3.65/gal	$4.95/gal[24]	+36%
EU diesel (weighted avg)	~EUR 1.60/L	EUR 2.00/L[46]	+25%
European jet fuel crack vs. ICE gasoil	—	$518.5/t (all-time record)[43]	First ever >$500/t

- Brent +6.1% to $109.75 today on South Pars strike news; TTF European gas +9.1% same session.[42]
- Geopolitical risk premium: ~$40/bbl — "oil would be in the $40s without the Iran war."[50]
- Brent at $108.78 at 9:15 ET (Fortune, Mar 18); +$5.80 on day, +$41.18 from one month ago.[22]
- Citi (Mar 18): Brent to rally to $120 near-term; $130 avg Q2/Q3 in extended disruption scenario.[23]
- Goldman Sachs (Mar 11 revision): raised Q4 Brent to $71, WTI to $67 — assumes 21 days at 10% normal Hormuz flows then 30-day recovery. Bears view this as badly underpricing tail risk.[25][34]

- EU diesel: Germany, France, Italy, Netherlands, Finland all above EUR 2.00/L; Ireland highest at EUR 2.30/L; Spain largest jump at +27% to EUR 1.79/L.[46]

GDP Sensitivity: Gulf Producers

COUNTRY	GDP IMPACT	MECHANISM	SOURCE
Qatar	**−14%**	100% LNG/oil exports through Hormuz; Ras Laffan force majeure; North Field delayed to 2027	Goldman Sachs[34]
Kuwait	**−14%**	No pipeline bypass; 100% of 2.7 mb/d exports transit Hormuz; force majeure Mar 7	Goldman Sachs[34]
UAE	**−5%**	ADCOP bypass partially offsets; Fujairah loading impaired; Mussafah terminal hit	Goldman Sachs[34]
Saudi Arabia	**−3%**	East-West pipeline partially offsets; Ras Tanura fire; ~2.0–2.5 mb/d production cut	Goldman Sachs[34]

LNG & Natural Gas Impact

BENCHMARK	PRE-CRISIS	CURRENT	CHANGE
JKM (Asian LNG spot)	—	$19.27/MMBtu[33]	Elevated; outpacing Europe
TTF (European gas)	EUR 31.96/MWh	EUR 50.75/MWh[33]	+59%
TTF peak	—	EUR 59.57/MWh (Mar 10)	+86%
	—		Accelerating

TTF (Mar 18 intraday)	+9.1% on South Pars strike news[42]

- European gas jumped ~45% the day Qatar halted production at Ras Laffan (Mar 2).[33]
- Asian buyers aggressively competing for prompt cargoes, diverting from Europe; Asian LNG prices outpacing European gains.[33]
- Qatar **North Field expansion pushed to at least 2027** — long-term supply implications for ~20% of global LNG capacity.[33]
- South Pars phases 3–6 taken offline Mar 18 — South Pars accounts for 70–75% of Iranian gas production; also feeds petrochemical feedstock supply chains.[42][47]
- Qatar's FM noted South Pars is "an extension of Qatar's North Field" — strike on Iranian side raises risks to shared reservoir pressure.[49]

Petrochemical Cascade

- **Steam cracker physics:** Crackers operate at a minimum ~60% utilization or must shut down entirely — no idle mode. A cold shutdown requires 2+ months to restart, creating downstream disruptions that outlast the oil crisis itself. ~20% of Asian ethylene capacity is currently under force majeure.[44]
- **Asian naphtha dependency:** Over 60% of Asian naphtha is sourced from the Middle East — blocked Hormuz transit is simultaneously a crude shortage and a petrochemical feedstock crisis.[44]
- **LPG yield collapse:** When crude slates shift from light Gulf grades to heavier alternatives, LPG yield drops from ~2% to ~1% of feedstock — compounding the direct LPG shortage from blocked transit.
- **Feedstock cost spike:** Petrochemical feedstock costs up 15–25% globally; downstream impacts cascade through plastics, fertilizers, and pharmaceuticals.[44]
- **China exposure:** Over 80% of China's petrochemical capacity is configured for Iranian crude grades. Iran's continued Kharg + Jask exports partially mitigate this, but any escalation halting Iranian exports

triggers immediate cracker shutdowns across China's industrial northeast.[44]

- **HSFO crack spread:** High-sulphur fuel oil (180 cst) widened +$20/bbl as bunker demand surges from longer rerouting distances. Cape route adds 10–14 days of fuel burn per voyage.[44]
- **European jet crack:** Jet fuel premium to ICE gasoil hit all-time record of $518.5/t — first time ever above $500/t.[43]
- **US LPG:** US produces 2.3 mb/d LPG with ~450K b/d spare export capacity. However, 5–6 week sailing time to Asia limits near-term relief — cargoes contracted today don't arrive until late April.[44]

Insurance & Shipping

- **War risk premiums:** ~5% of vessel value per transit, up from 0.02–0.05% pre-crisis — a $100M tanker now costs $5M to insure for one transit.[41]
- Major P&I clubs (Gard, Skuld, NorthStandard, London P&I, American Club) cancelled war risk cover effective Mar 5.[41]
- Hormuz now the "world's most expensive waterway" after 300% premium surge.[31]
- Maersk, CMA CGM, Hapag-Lloyd all suspended Hormuz/Red Sea transits.[32]
- **Tanker stocks surging:** BWET +243% YTD; FRO +62.6%, NAT +63.2%, DHT +59.1%.[51]
- VLCC spot rates ~$170K/day.[32]
- **Container rerouting:** Cape of Good Hope diversion adds 10–14 days and $500–800K per voyage; ~250,000 containers/month diverted; ~70,000 vehicles/month from Japan/South Korea plants delayed.[29]
- **US LPG arbitrage window:** US Gulf Coast to Asian terminal = 5–6 week sailing. Cargoes contracted today arrive late April at earliest — limited near-term relief despite 450K b/d US spare export capacity.[44]

Diplomatic & Military Developments

Naval Coalition (Hormuz Escort)

- Trump called on NATO, China, Japan, South Korea, UK, and France to send warships to secure Hormuz.[15]
- **Declined:** Germany, Japan, Italy, Romania, Spain, UK, Australia, Luxembourg formally declined; EU voted against expanding naval operations.[15]
- **Partial:** France pledged 2 frigates ("purely defensive");[38] Pakistan launched Operation Muhafiz-ul-Bahr.
- US Navy estimates escort readiness by end of March — needs 8–10 destroyers per convoy.[38]
- Military analysts: forcing Hormuz open against IRGC asymmetric threats would be "almost suicidal" — requiring ~80,000 marines.[40]
- Trump threatened to reconsider NATO membership after allies refused to join Hormuz mission.[15]

UN Security Council

- **Resolution 2817** (Mar 11): Condemned Iran's attacks on regional energy infrastructure. Vote: 13-0-2 (China/Russia abstained). Record 135 co-sponsors.[2]
- Competing Russian draft failed 4-2-9.

Ceasefire: No Active Negotiations

- Iran FM Araghchi: "We never asked for a ceasefire."[6]
- Trump (Mar 15): Iran "willing" but "terms aren't good enough yet."[28]
- President Pezeshkian preconditions: recognition of rights, reparations, guarantees against future aggression.[28]

Iran Leadership Succession

ROLE	KILLED/REMOVED	SUCCESSOR	DATE

Supreme Leader	**Ali Khamenei (Feb 28)**	**Mojtaba Khamenei** (IRGC-backed)[58]	Elected Mar 9
IRGC Commander	**Mohammad Pakpour (Feb 28)**	Ahmad Vahidi	Mar 1
Security Chief	**Ali Larijani (Mar 17)**[16]	—	—
Basij Commander	**Gholamreza Soleimani (Mar 17)**[16]	—	—
Intelligence Minister	**Esmaeil Khatib (Mar 18)**[18]	—	Confirmed by President Pezeshkian

40+ Iranian officials killed total, including intelligence minister Khatib (Mar 18).[16][18] Mojtaba Khamenei's election under IRGC pressure suggests the hardline faction has consolidated control — reducing the likelihood of near-term de-escalation.[39] IRGC has issued evacuation warnings for civilians near Saudi, Qatar, and UAE energy facilities, signaling imminent strikes beyond Iran's borders.[49]

Flow Rate Constraints: Why “Paper” Relief Lags Physical Reality

SPR releases and pipeline activations are announced in volume terms. The binding constraint is **deployment rate** — how fast the barrels can physically move. Headline numbers consistently overstate near-term relief.[6]

US Strategic Petroleum Reserve

Theoretical 4.4 → Reality 1.2 mb/d

The US SPR has never actually sustained its theoretical withdrawal rate. Salt cavern geology, pipeline infrastructure, and marine terminal

throughput impose sequential bottlenecks that compress the effective rate to roughly one-quarter of the design maximum.[1]

CONSTRAINT LAYER	RATE (MB/D)	NOTES
Salt cavern max withdrawal	4.4	Theoretical; never achieved simultaneously across all 4 sites[1]
Marine terminal throughput	2.2	Big Hill, Bryan Mound, West Hackberry combined loading capacity
Historical max achieved	1.2	Post-Katrina 2005 and Libya 2011 peaks; best real-world benchmark[1]
Current DOE plan (120 days)	1.43	172M bbl ÷ 120 days; requires near-full terminal utilization[3]

IEA Non-US Members

Combined IEA non-US committed release: ~228M bbl across Europe, Japan, South Korea — but practical deployment rates are severely constrained by logistics, not storage.[1]

REGION	COMMITTED (MB)	PRACTICAL RATE (MB/D)	BOTTLENECK
Europe (IEA)	~150M	~0.30	Distributed storage across 28 countries; slow drawdown logistics[1]
Japan (IEA)	~80M govt	~0.20	Tanker scheduling from coastal storage tanks
South Korea (IEA)	~50M	~0.10	Pipeline connectivity limits throughput to domestic refineries
Combined non-US IEA	**~314M**	**~0.57**	Logistics — not storage — is the binding constraint

GL 134 Floating Inventory

METRIC	FIGURE	NOTES
Total floating volume	186M bbl	~238 tankers; Sparta Commodities (Mar 16)
Near-field (India/ China waters)	60-70M bbl	Prompt delivery within days to nearby refineries
Effective discharge rate	~2.0 mb/d tapering	Limited by port berths and unloading arms, not tanker availability
Expiration	Apr 11, 2026	Stock depletes; no replenishment mechanism; one-time relief

Reality Check: Combined Maximum Deployment

~6.5 mb/d Maximum → vs. −20 mb/d Lost

If every mitigation deploys simultaneously at maximum physical rate: US SPR 1.43 + IEA non-US 0.57 + GL 134 2.0 + Saudi pipeline 1.75 + ADCOP 0.70 = **6.45 mb/d peak**. Against 20 mb/d lost, the physical deployment gap is ~13.5 mb/d even in a best-case coordination scenario. The paper balance sheet and the physical market diverge by the rate at which barrels can actually move.

Country-Level Vulnerability

Adjusted Days of Cover = Strategic Reserves ÷ (Daily Consumption × Hormuz Dependency %). Measures runway against the Hormuz-disrupted portion of supply specifically — more meaningful than headline days-of-supply figures.

Critical (<45 adj. days) | High (45–100 adj. days) | Moderate (100–200 adj. days) | Low (direct exposure)

COUNTRY	CONSUMPTION	HORMUZ DEP.	STRATEGIC RESERVES	ADJ. DAYS COVER	KEY VULNERABILITY
Singapore		>90%	<14 days		

	~1.5 mb/d (refinery)			~11 days	Regional refining hub; minimal strategic storage; choke point for SE Asia fuel
India	~5.2 mb/d	~60%	~7 days govt	~12 days	87% import-dependent; secured limited passage; 30x spike in induction stove sales; ~37M bbl total govt reserves
Australia	~1.0 mb/d	~90% fuel imports	~21 days	~23 days	Lowest OECD compliance (IEA requires 90-day minimum); minimal domestic refining; worst-prepared OECD economy
Japan	~3.2 mb/d	~75%	80M bbl govt SPR	~33 days	PM warned of collapse within 8-9 months; declined escort coalition; refineries designed for Arab Light grade
Taiwan	~1.0 mb/d	~85%	~60 days total	~71 days	No domestic production; TSMC fab energy exposure;

					strategic ambiguity complicates supply agreements
Thailand	~1.2 mb/d	~55%	~30 days total	~55 days	Petrochemical complex at Map Ta Phut (7% of GDP) dependent on Gulf naphtha; limited bypass options
South Korea	~2.8 mb/d	~70%	~90 days total	~129 days	Refineries designed for Gulf crude; Ulsan complex processes Arab Heavy; issued "reduce by 20%" conservation guidance
Kuwait	~0.5 mb/d (consumer)	100% exports	—	GDP −14%	No pipeline bypass; 100% of 3.2 mb/d exports transit Hormuz; force majeure Mar 7; most GDP-exposed producer
Pakistan	~0.6 mb/d	~30%	~20 days total	~67 days	Iranian crude alternative available (pipeline under discussion); lower Hormuz exposure than

					neighbors; Operation Muhafiz-ul-Bahr
Qatar	~0.7 mb/d (consumer)	100% LNG exports	—	GDP −14%	Ras Laffan force majeure; North Field to 2027; 20% of global LNG offline; producer vulnerability (exports, not imports)
Saudi Arabia	~4.0 mb/d	~65% exports	—	GDP −3%	East-West pipeline partially offsets; Ras Tanura fire; ~2-2.5 mb/d cut; partial bypass mitigates worst case
China	~16.5 mb/d	~37%	~1,200M bbl	~197 days	Receiving Iranian crude via dark fleet; 75% rail electrified; 50% EV semi sales; in talks for guaranteed passage; most buffered major importer
Europe (agg.)	~12 mb/d	~12% oil / 20% LNG	90+ days avg	>600 days	TTF gas +59%; Qatar LNG halt critical; North Field delay multi-year; oil exposure manageable

					but gas exposure severe
UAE	~1.0 mb/d	<20% export exposure	—	GDP −5%	ADCOP pipeline reduces export Hormuz dependency; Fujairah struck 3x but loading continues; Mussafah terminal damaged
United States	~20.0 mb/d	Net exporter	415M bbl SPR	Indirect	No direct import exposure; indirect: allied economic collapse = global recession; export ban debate; SPR depleting

Interactive Supply Chart

Demand Destruction Dynamics

- **Threshold price:** Bernstein estimates $155/bbl Brent as the level triggering structural demand destruction — ~50% above current levels. Below this, oil demand is largely inelastic in the short run due to lack of substitutes for transportation and industrial use.
- **Price elasticity:** Short-run oil demand elasticity: −0.2 to −0.3. At $103 Brent, implied demand reduction: ~2-3% globally (~2-3 mb/d). Meaningful, but far from closing the -12 mb/d structural gap.

- **IEA demand revisions:** IEA raised its 2026 demand destruction estimate from 210K b/d to 640K b/d — reflecting higher-than-expected price pass-through to consumers and faster behavioral response in Asia.
- **Asian emergency measures:** India mandating 10% ethanol blending expansion; Japan activating emergency conservation orders (factories, commercial buildings); South Korea issuing "reduce by 20%" public guidance; China restricting highway trucking to odd/even license plates in 7 provinces.
- **Stalemate scenario (15-20% demand drop):** If closure extends 3+ months with no resolution, IEA models 15-20% demand contraction in Asia-Pacific — triggering a global recession that itself destroys demand. This is the self-correcting mechanism, but the adjustment is severe and non-linear.
- **Supply-demand clearing:** Futures curve implies market expects clearing at ~$85 Brent by year-end (steep contango). Structural analysts (Pozsar, Trafigura) argue this assumes a brief disruption and is badly mispriced if closure extends past June.

What to Watch

1. 4-week shut-in threshold (~Mar 28): Wells shut since Mar 3 approach permanent water coning damage window. Risk accelerates with every additional week.[7]

2. GL 134 expiration (Apr 11): −2 mb/d cliff drop from mitigation stack when 186M bbl floating inventory depletes. No extension signals. Single most predictable near-term price catalyst.[3][13]

3. IRGC retaliation on Gulf energy sites (imminent): Five named targets "to be struck within hours" (as of Mar 18 morning): SAMREF Yanbu (400K b/d), Sadara Jubail, Qatar Chemical, Ras Laffan refinery (305K b/d), Al-Hosn gasfield (1 bcf/d). Any strike would send Brent to new highs.[49][42]

4. South Pars damage assessment: Phases 3–6 gas treatment facilities offline; Tehran refinery (220K b/d) hit. Qatar's FM noted South Pars is "an extension of Qatar's North Field" — strikes on shared reservoir risk multi-year supply implications beyond the war itself.[42][49]

5. Coalition escort formation: US Navy estimates readiness by end of March (8–10 destroyers per convoy). Germany, Japan, Australia declined. Military analysts: "almost suicidal" without ~80,000 marines.[40][38]

6. Mojtaba Khamenei's posture: IRGC-backed hardliner. Iran FM: "We never asked for a ceasefire." His stance determines whether closure is bargaining chip or long-term strategy.[6][39]

7. SPR drawdown pace: US portion (172M bbl) gone by ~mid-July at 1.43 mb/d. Post-SPR cliff if crisis extends past summer.[1]

8. Refined products crunch: Bypass pipelines only move crude — no relief for diesel, LPG, or LNG. Diesel $4.95/gal. EU diesel EUR 2.00+/L. Ras Laffan + North Field delay = 20% of global LNG supply impacted for years.[12][46]

9. Yuan-denominated Hormuz transit: If Iran allows yuan-settled cargoes, it's a structural shift in petrodollar dynamics. Watch China-Iran negotiations.[26]

10. Insurance normalization: War risk at 5% of hull value makes commercial transit economically unviable even if militarily possible.[41][31]

11. Mine deployment threat: IRGC has not yet deployed sea mines — widely considered the red line that triggers direct US military

escalation. Any confirmed mine detection = immediate $20–30/bbl market shock. Watch USNI and CENTCOM.[40]

12. Xi-Trump back-channel: China absorbs 37% of Hormuz crude flows and is the only actor with credible leverage over Iran. A Xi-Trump bilateral call is the most likely catalyst for a ceasefire framework.[39]

Market & Social Intelligence

Fintwit / X Sentiment

- **Consensus long energy.** BWET ~+470% YTD. USO +64%. XLE +27%. Record $211M retail inflows on Mar 12.[13]
- **Iran's selective blockade** widely discussed as strategically effective — divides Western coalition.
- **"Stalemate at sea"** framing gaining traction. Ritter analysis: reopening requires ~80,000 marines.[38]
- Relief rallies treated as **"sell the rip"** — not genuine de-escalation.
- Goldman: $100+ March, $85 April. UBS: $90 June, $85 year-end.[32]

Reddit (WSB, r/investing, r/stocks)

- **"Oil is the new meme stock."** USO largest single-day inflow since Aug 2020. CNBC: "meme-style" trading.[13]
- **SPY sentiment still bullish (68/100)** — WSB shorting VIX, betting crisis contained.
- **USO contango warnings** from experienced traders: "Don't confuse an oil trade with an oil investment."
- **Futures curve disconnect:** Jan 2027 Brent ~$70. Retail more bullish than curve implies.

- **Second-order plays:** Defense, tankers, Asian refiners. "Alpha is in second-order effects."

HackerNews Technical

- **Escort infeasibility:** Iran's asymmetric threats in confined waters make convoy escort untenable without massive amphibious deployment.[52]
- **Refinery grade mismatch:** Can't swap crude sources without retooling — constrains substitution speed.
- **Water coning:** Under-discussed mechanism behind 4-week well damage threshold.[53]
- **No shale response at $100:** "Wall Street killed the wildcatters" — capital discipline = buybacks over capex.[53]
- **Pozsar's Bretton Woods III:** Hormuz as structural validation of physical commodity repricing.[52]
- **China's resilience:** 75% rail electrified, 50% of 2025 semi-tractor sales electric, Russian gas via pipelines.
- **Silicon Valley gasoline at $7+/gal** (reported @Animats).[52]

YouTube Coverage

- **Peter Zeihan** most prolific — rapid-fire series since Feb 28. Also on Prof G Pod with Galloway (Mar 9).[51]
- **Al Jazeera Inside Story** (Mar 16): panel on Hormuz as Trump's problem. Military analyst: "almost suicidal."
- **Key thesis:** US doesn't need Gulf oil (net exporter) but allies do — strait closure accelerates deglobalization.

Trading Signals

SIGNAL	BULL CASE	BEAR CASE

Futures curve LIVE	Backwardation = expects short disruption	If wrong, violent catch-up repricing
Retail inflows ($211M)[13]	Momentum extends rally	Meme-style = fragile, reverses fast
Shale non-response	No new supply = sustained shortage	Discipline could break at $130+
Tankers (BWET ~+470%) LIVE	Longer routes for months	Snap back on ceasefire signal
SPR drawdown POLICY	Buys 120-200 days	Post-SPR cliff past Jul
GL 134 (Apr 11) POLICY	Extension = more supply	No extension = -2 mb/d cliff
Clean energy flat	Not pricing structural shift	Could catch bid at 3-month mark
Insurance (5% hull) LIVE	Commercial transit dead	Normalization = de-escalation signal

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